

ENGLISH **LIVE**

4

COMPREHENSION & VOCABULARY

UPSC / BANK PO / SSC / OTHERS

SESSION - 4

12th January, 2017

Go Ahead and Sell Off Non-Strategic PSUs

The government appears to be unlikely to push ahead with its divestment plan in the current fiscal due to a choppy market and the comfortable revenue position. It shows complacency and defeats the goal of boosting the performance of state-owned enterprises. The government must proactively sell shares of profit-making state-owned companies that are not strategic any more. The stake sales need not have to wait for the right level of stock prices. Large-scale disinvestment in these PSUs will help shore up their performance. The case for the government to exit sectors such as steel and power is compelling, given that the private sector has developed technical and managerial capability to operate in these areas.



The government should foray into new sectors—advanced manufacturing in microelectronics, aerospace, telecom and new-generation drugs—where the private sector does not have the requisite expertise and capability. A dynamic approach is needed for the government to create companies that get into serious R&D,

akin to state-owned CDoT that showed promise to boost indigenous telecom R&D. It should also swiftly wind up loss making companies and use the money garnered through reshuffling assets as capital investment to build infrastructure that the country badly needs.

Of the budgeted target of ₹56,500 crore this fiscal year, the government has so far raised about ₹21,432 crore through share buyback in companies that include Coal India, Nalco, HCL, NHPC, NMDC and BEL, apart from ₹2,096 crore as part-sale of its holding in Specified Undertaking of the UTI (SUUTI). Three-fourths of the amount has been raised by buybacks, which preclude some public holding in these companies, generating some additional pressure to perform and be transparent.

THE ECONOMIC TIMES

29th December 2016



DISCUSSION ON
12th Jan (today)



DISCUSSION ON
13th Jan (tomorrow)

Not RBI's Job to Oppose Government

Policy is government's domain, execution RBI's

Many people have tended to read into the Reserve Bank of India's statement that demonetisation of ₹500 and ₹1,000 notes had been suggested to it by the government of India implications that probably are not warranted. The central bank has lost its autonomy and credibility affected, say some, including former Reserve Bank of India governor Yaga Venugopal Reddy. If the assumption is that the central bank should have resisted the move to demonetise high-denomination notes, that assumption is misplaced. The Reserve Bank of India or any other central bank had the duty to carry out the will of the sovereign, as articulated by the duly elected government of the day. Its job is to carry out that mandate well, planning and implementing its execution in an optimal fashion.

In the democratic system of government, the people are the sovereign and Parliament their representative forum. Parliamentary majority throws up the political leadership of the executive. As a political leadership that enjoys the confidence of the elected people's representative forum, it has the authority of the people to take decisions in their welfare and on their behalf. If the political leadership makes mistakes in their choice of action and policy, the people will punish them. The government's accountability is to the people. If the government of the day thinks certain currencies have to be demonetised, it is not for an institution with a narrowly defined mandate to thwart that policy choice. This does not mean that the government can take decisions that violate the laws of the land: the courts would step in, if laws are violated.



That being the case, the questions to be asked are different. Did the central bank advise the government as to how to go about demonetising two widely used notes in the least disruptive fashion? Did it devise a plan of action that was optimal? Did it manage execution of the plan efficiently and coherently? All these questions can be answered only in the negative. So, it is inevitable that the Reserve Bank of India will face some flak. But it was not its job to have resisted demonetisation.

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11th January 2017

LIVE



LEARNING SPACE

...Transforming Human Lives

Go Ahead and Sell Off Non-Strategic PSUs

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**GOVERNMENT SHOULD GO
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Editorial

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DISINVESTMENT

LIVE



DISINVESTMENT

MINORITY STAKE SALE

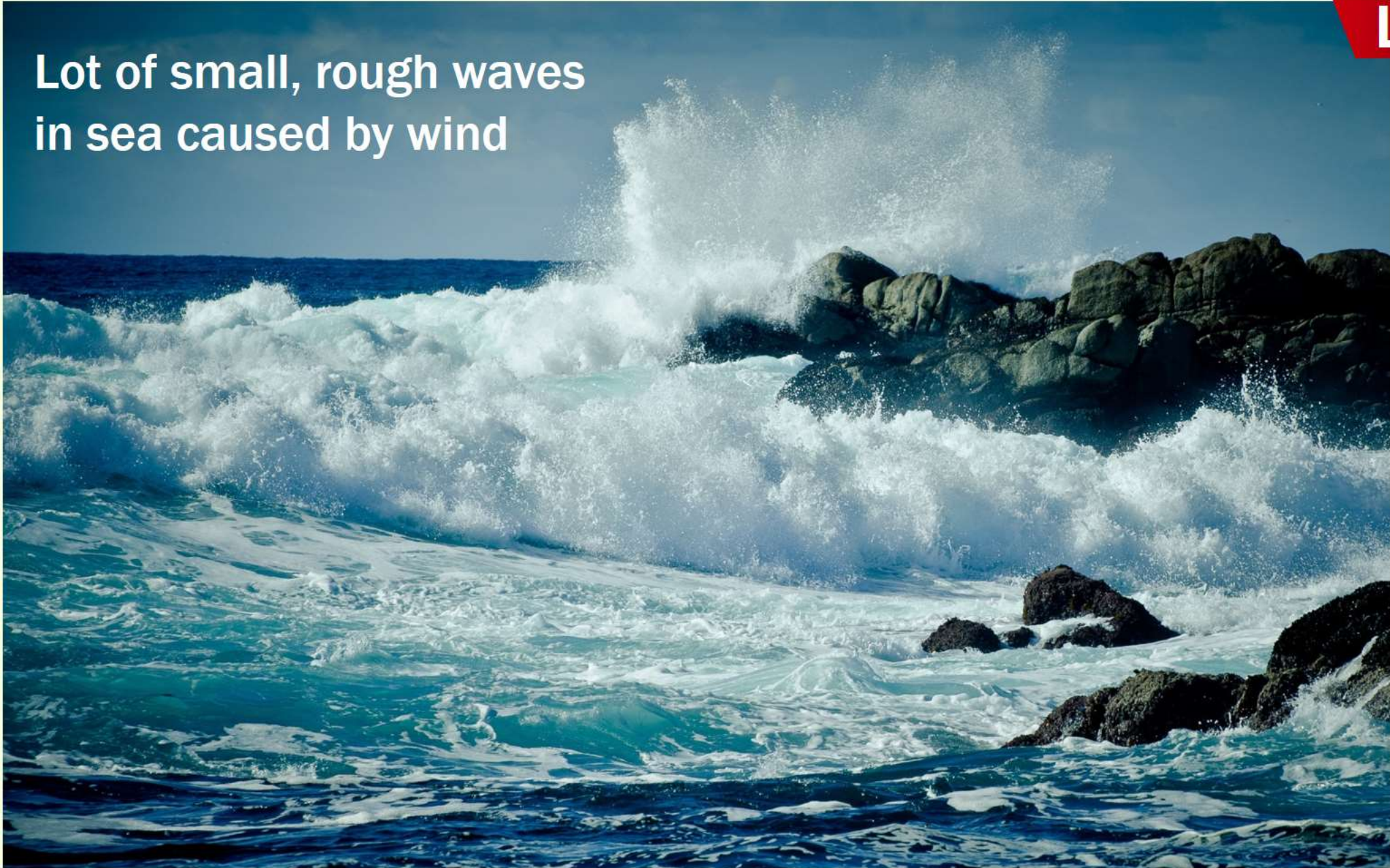
Selling part of the stake by keeping majority stake of at least 51% by the Govt.

STRATEGIC SALE

Selling majority stake or selling PSU entirely. Govt. will come out of management control or sell it completely. This is privatisation



Lot of small, rough waves
in sea caused by wind





National Stock Exchange of India Limited

Stock markets move up and down considerably, but with no resulting overall price movement in either direction

LIVE

STAKE



OWNERSHIP



SHARES



SHARES





The children are so intelligent that there is compelling reason to join them in good school in the town

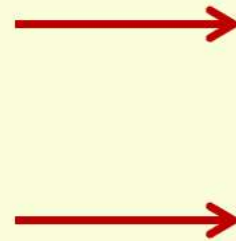
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Reliance Industries



Gene Editing

LIVE



Infosys®



EXPERTISE



China steel industry

CAPABILITY



LEARNING SPACE

...Transforming Human Lives



सी-डॉट
C-DOT

सेंटर फॉर डेवलपमेंट ऑफ टेलीमैटिक्स
भारत सरकार का दूरसंचार प्रौद्योगिकी केन्द्र

Centre for Development of Telematics
Telecom Technology Centre of Govt. Of India



सत्यमेव जयते



RESHUFFLING OF CABINET

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Athlete suffered an injury that
precluded the possibility of
athletic career

BAD WEATHER



Bad weather
precluded any further
attempts to trekking

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